

and equity to acquire brands. With funding dwindling, they were not only forced to halt acquisitions but also found themselves grappling with the challenge of managing the acquired brands efficiently in their portfolio. “Acquiring prospering brands comes at a premium, and consolidating them under a common platform can be challenging. Multiple brands must synchronise with each other in terms of market, people, and technology, which sometimes can result in conflicts within the brands. Investors are constantly monitoring the growth of these high-priced brands to ensure the overall growth of the platforms and a return on investment,” says Naveen Malpani, Partner at Grant Thornton Bharat.

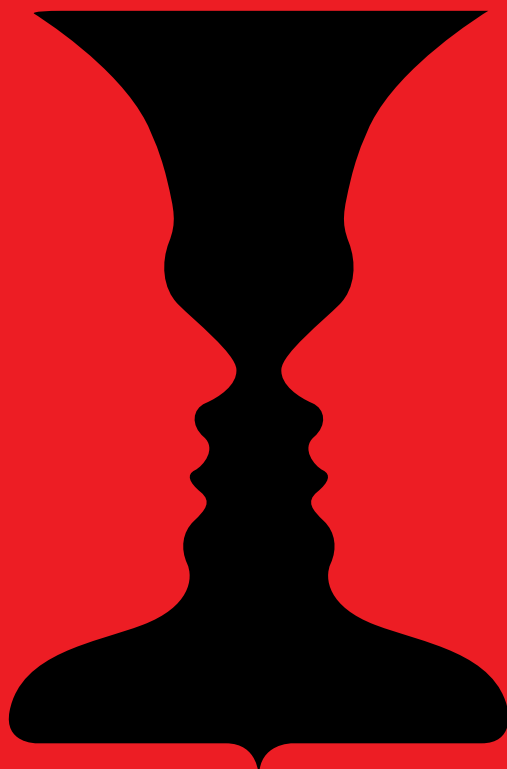
The founders realised they paid a premium for acquiring brands in a competitive market, and now they had to justify these high valuations. But with funding decreasing and uncertainty about securing more capital for future acquisitions, most decided to focus on growing into those valuations rather than pursuing additional acquisitions. This unexpected shift hit the growing industry hard, abruptly halting its rapid growth.

“In the pristine Thrasio model, they did not pay top dollar [for acquisitions]. They paid like 2x of Ebitda, or 4x, at best. Typically, Ebitda used to be around 15-20%, which translates to 0.7-0.8x the revenue multiple,” says Vinay Singh, Co-founder & Partner at Fireside Ventures. “Valuation arbitrage is achieved in the future when they acquire several such brands, allowing them to command close to public market multiples. And then that 3-4x Ebitda expands to about 8-10x Ebitda, which is what those markets operate at. India operates at 30x Ebitda.”

THE BURDEN OF DEBT

The elephant in the room was an impending debt crisis. Many roll-ups leaned heavily on debt or acquisition financing, leveraging their ‘venture capital rounds’ to ramp up purchasing capabilities. With VC funding on the decline and interest rates rising, companies found themselves struggling to manage their debt, pushing many to the edge of collapse.

Companies failed to anticipate the sudden inflation of debt. The payout exceeded the initial plan, and “cash flow was not good enough” to cover the interest, says Singh. “They could pick up equity to pay interest earlier, but then the funding winter happened. They are then forced to dip into reserves on the balance sheet to pay interest. Suddenly, when principals get due, the piper comes calling, and that’s when things start to break down,” he explains. This convergence of factors began to exert extreme stress on the industry. Thrasio filed for bankruptcy on February 28, 2024. Its peer Benitago Group has already taken that path in September while Perch, which had been scouting for a potential suitor,



UPSCALIO

- **Funding:** \$64.2 million
- **Last equity round:** March 2022
- **Key Investors:** SoftBank, Premji Invest, Steadview Capital, Pratithi Investments
- **Brands acquired:** Aircase, Istuff365, Tizum, Homepuff, Truphe Traders, Autofurnish Trading, FormandsTrase, Polestar



10CLUB

- **Funding:** \$63.7 million
- **Last equity round:** June 2022
- **Key Investors:** Altus Capital Partners, Celeres Investments, Thrasio, Tanglin Venture Partners, Indigoedge
- **Brands acquired:** NA